

CHAPTER - 5

Free Consent

A mere consent is not enough for a valid contract. One of the essentials of a valid contract mentioned in Section 10 is that the parties should enter into the contract with their free consent.

Section 13 defines consent as: 'Two or more persons are said to consent when they agree upon the same thing in the same sense' i.e., consensus ad idem.

In other words, there must be real consent, in the absence of which there is no contract formed.

Please Note: When there is no consent, the agreement is void.

However, in certain cases there is real consent, but one of the parties has given his consent not out of his free will but due to factors in the absence of which he might not have given his consent. Consent so given is said to be not free. In such cases, the contract is voidable.

According to Section 14, consent is said to be free when it is not caused by:

- (1) Coercion (Sec. 15), or
- (2) Undue influence (Sec. 16), or
- (3) Fraud (Sec. 17), or
- (4) Misrepresentation (Sec. 18), or
- (5) Mistake, subject to the provisions of Secs. 20, 21 and 22.

Where consent to an agreement is caused by coercion, undue influence, fraud, or misrepresentation, the agreement is a contract voidable at the option of the party whose consent was so caused.

Illustration: Mr. A is induced to sign an agreement with Mr. B by fraud, he on discovering the truth, either uphold the contract or reject it.

Where consent is caused by mistake, the agreement is void.

COERCION

According to Section 15, Consent is said to be caused by coercion when it is obtained by pressure exerted by either of the following techniques:

- (i) committing or threatening to commit any act forbidden by the Indian Penal Code or
- (ii) unlawfully detaining or threatening to detain any property, and
- (iii) such an act should be prejudice of any person whatsoever.

Illustration: Mr. A, on board an English ship on the high seas, causes to enter, into an agreement by an act amounting to criminal intimidation under 1.P.C. Mr. A afterwards sues Mr. B for breach of contract at Calcutta. Mr. A has employed coercion, although his act is not an offence by the law of England and although Sec. 506, I.P.C. was not in force when or where the act was done.

Illustration: A threatens to shoot B. if B does not agree to sell high property to A at a stated price. B's consent has been obtained by coercion.

CASE LAW: CHIKHAM AMIRAJU V CHIKHAM SESHAMMA

Facts in brief: A person by threat of suicide induced his wife and son to execute a release in favour of his brother in respect of certain properties.

Held: The threat of suicide amounted to coercion within Section 15.

WHO CAN EXERCISE COERCION?

Coercion may come from a person party to the contract or even third person not connected with the contract directly.

EFFECT OF THREAT TO FILE A SUIT: A threat to file a suit (**whether civil or court**) does not amount to coercion unless the suit is on false charge

THREAT TO STRIKE: A threat to strike by employees in support of their demands is not regarded as coercion.

DETAINING PROPERTY UNDER MORTGAGE: Detention of property by a mortgage until the payment of loan does not amount to coercion.

UNDUE INFLUENCE

Section 16 defines the term Undue Influence as follows:

- (1) A contract is said to be induced by “undue influence” where the relations subsisting between the parties are such that one of the parties is in a position to dominate the will of the other and uses that position to obtain an unfair advantage over the other.
- (2) In particular and without prejudice to the generality of the foregoing principle, a person is deemed to be in a position to dominate the will of another-
 - (a) where he holds a real or apparent authority over the other, or where he stands in a fiduciary relation to the other; or
 - (b) where he makes a contract with a person whose mental capacity is temporarily or permanently affected by reason of age, illness, or mental or bodily distress.
- (3) Where a person who is in a position to dominate the will of another, enters into a contract with him, and the transaction appears, on the face of it or on the evidence adduced, to be

unconscionable, the burden of proving that such contract was not induced by undue influence shall lie upon the person in a position to dominate the will of the other.

Illustration: Aman having advanced money to his son, Brijendar, during his minority, upon Brijendar's coming of age obtains, by misuse of parental influence, a bond from Brijendar for a greater amount than the sum due in respect of the advance. Aman employs undue influence.

Illustration: Ankur, a man enfeebled by disease or age, is induced, by Bhuvan's influence over him as his medical attendant, to agree to pay Bhuvan an unreasonable sum for his professional services, Bhuvan employs undue influence.

Illustration: Amit, being in debt to Puneet, the money-lender of his village, contracts a fresh loan on terms which appear to be unconscionable. It lies on Puneet to prove that the contract was not induced by undue influence.

Illustration: Azim applies to a banker for a loan at a time when there is stringency in the money market. The banker declines to make the loan except at an unusually high rate of interest. Azim accepts the loan on these terms. This is a transaction in the ordinary course of business, and the contract is not induced by undue influence.

Illustration: A spiritual guru induced his chela to donate all his property to the ashram and said that in return of it, he will certainly get salvation. The chela did the same. This is a case of undue influence.

Distinction between Coercion and Undue Influence:

Coercion	Undue Influence
It involves the use of or threat to use physical force.	It involves use of moral force (Mental pressure)
Obtain the consent of party	Obtain an unfair advantage
Punishment under IPC	Not criminally liable
Stranger can exercise coercion	Between the parties to the contract
Relationship between the parties is Immaterial	One party dominate the other party
Voidable at the option of aggrieved party	Voidable or court set aside

FRAUD

"Fraud" means and includes any of the following acts committed by a party to a contract, or with his connivance, or by his agent, with intent to deceive another party thereto or his agent, or to induce him to enter into the contract:

- (1) **The suggestion, as a fact, of that which is not true, by one who does not believe it to be true**
- (2) **The active concealment of a fact by one having knowledge or belief of the fact;**

Illustration: Mr. A sell his horse to Mr. B. Mr. A knows that the horse is of unsound mind and he hides the horse in such a manner that it is not visible. Mr. A affirms that the horse is sound. The defect is subsequently discovered by Mr. B. There is a fraud on part of Mr. A hence contract is voidable at the instance of Mr.

- (3) **A promise made without any intention of performing it;**

Illustration: Varun purchases a ring from Akash on credit without any intention of paying for it is clear case of fraud from Varun's side.

- (4) **Any other act fitted to deceive;**

Illustration: Sona presents herself as the agent to an insurance company and convinces John who deposits Rs. 10,000 to her. This is a clear case of fraud and contract is voidable at the instance of John.

- (5) **Any such act or omission as the law specially declares to be fraudulent.**

Illustration: Tilak sells his house to Vinayak without informing him that it is already mortgaged to Varun. An omission to make such disclosure amounts to fraud on part of Tilak.

Essentials of Fraud:

There should be a false statement of fact by a person who himself does not believe the statement to be true. The statement should be made with a wrongful intention of deceiving another party thereto and inducing him to enter into the contract on that basis.

WHEN THE SILENCE AMOUNT TO FRAUD

General rule: Mere Silence as to facts likely to affect the willingness of a person to enter into a contract is not fraud.

Illustration: A sells, by auction, to B, a horse which A knows to be unsound. A says nothing to B about the horse's unsoundness. This is not fraud in A.

Exception

Where the circumstances of the case are such that regard being had to them, it is duty of the person keeping silence to speak. Such duty arises in the following two cases:

- (i) **It is the duty of the person keeping silence to speak**

Fiduciary Relationship

When the parties stand in a fiduciary relation to each other, the person in whom confidence is reposed is under a duty to act with utmost good faith and to make a full disclosure of all material facts concerning the transaction known to him.

Examples of a fiduciary relationship include those of principal and agent, solicitor a client, guardian and ward, and trustee and beneficiary, master and servant, father and son, guru and disciple, doctor and patient, police and accused etc.

Illustration: A sells by auction to B a horse which A knows to be unsound. B' is A's daughter and has just come of age. Here the relation between the parties would make it A's duty to tell B is the horse is unsound

Contract of Insurance

In contracts of marine, fire and life insurance, the insurer contracts on the basis that all material facts have been communicated to him; and that if there has been non-disclosure he shall be entitled to avoid the contract.

The assured therefore must disclose to the insurer all material facts concerning the risk to be undertaken e.g., disease, in case of life insurance. A concealment or misstatement of a material fact will render the contract void.

Contract of Marriage

Both parties to a contract of marriage must disclose every material fact otherwise the other party is justified in breaking off the engagement.

Contract of Family Settlement

Contracts of family settlements and arrangements also require full disclosure of all material facts within the knowledge of the parties to such contracts.

Contract of Share Allotment

Promoters and directors, who issues prospectus of a company to invite the public to subscribe shares should disclose all the information regarding the company to general public.

(ii) When silence itself equivalent to speech.

Silence is fraudulent where the circumstances are such that "silence in itself, equivalent to speech".

Illustration: B says to A "if you do not deny it, I shall assume that the horse is sound". A say nothing- A's silence equivalent to speech. A can held liable to fraud.

MISREPRESENTATION

Misrepresentation is when a party to the contract asserts something which is not true though he believes is to be true. In other words, misrepresentation is a false representation made innocently. An agreement is said to be influenced by misrepresentation if all the following conditions are satisfied:

- (1) The positive assertion, in a manner not warranted by the information of the person

making it, of that which is not true, though he believes it to be true.

Illustration: X says to Y who intends to purchase his land, "My land produces 20 quintals of Maize per acre." A, believes the statement to be true, although he did not have sufficient grounds for the belief. Later on, it transpires that the land produces only 17 quintals of maize per acre. This is a misrepresentation.

- (2) Any breach of duty which, without an intent to deceive, gains an advantage to the person committing it, or any one claiming under him; by misleading another to his prejudice, or to the prejudice of any one claiming under him

Illustration: A, before signing a contract with Z for sale of business, rightly states that his monthly sale is Rs. 20,000. This negotiation lasts for five months, when the contract for sale was signed. During this period the production reduced to Rs.15,000 per month. A unintentionally keeps quite. This is case of misrepresentation and is voidable at the option of Z.

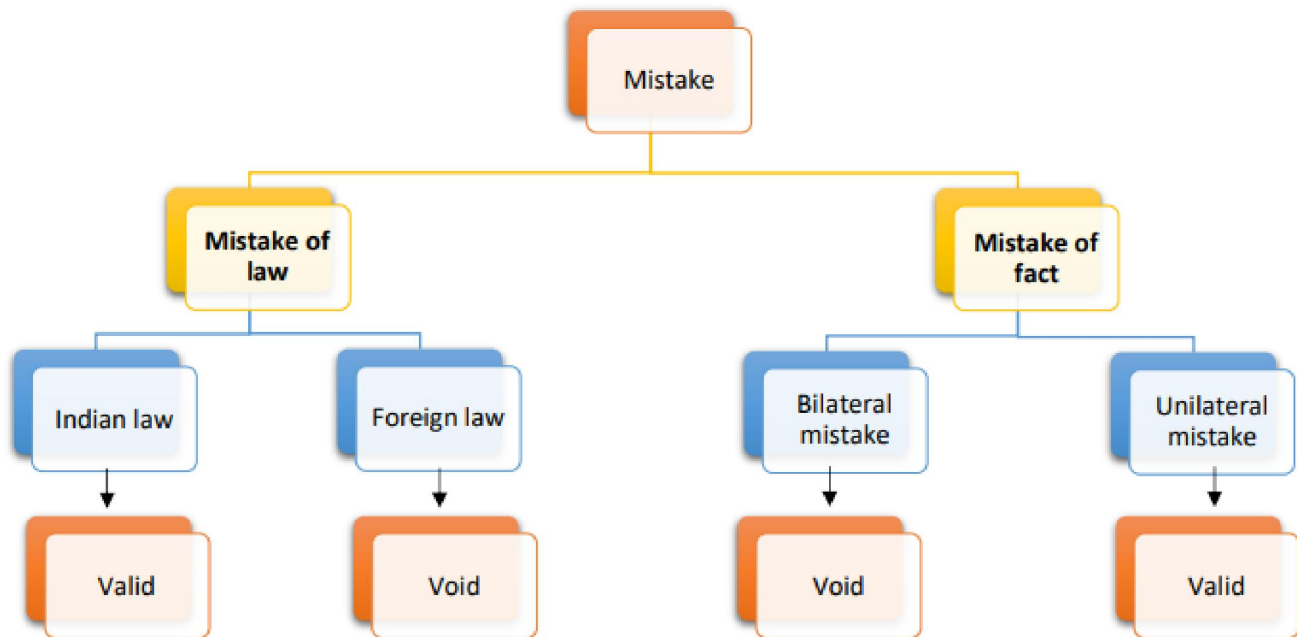
- (3) Causing, however innocently, a party to an agreement, to make a mistake as to the substance of the thing which is the subject of the agreement.

Illustration: Deeksha contract to sell 100 bags of wheat, in which no sulphur has been used in its cultivation. Sulphur, however, had been used in 6 out of 500 acres of land. The buyer would not have purchased the wheat for the representation. There is misrepresentation.

Distinction between Fraud and Misrepresentation:

Fraud	Misrepresentation
Wrongful representation is made Willfully to deceive the party.	Innocently without any intention to Deceive the other party.
The person making the wrong statement does not believe it to be true.	The person making the wrong statement believes it to be true.
Right to claim damage	Can't claim damage
Except in case of Silence, in case of fraud the contract is voidable even though the aggrieved party had the means of discovering the truth with ordinary diligence.	In case of misrepresentation the contract is not voidable if the aggrieved party had the means of discovering the truth with ordinary diligence

MISTAKE



When the consent of the parties to the contract is caused by mistake it is not free consent, which is needed for the validity of a contract. One, or both, of the parties may be working under some misunderstanding or misapprehension of some fact relating to the agreement.

If such a misunderstanding or misapprehension had not been there, probably they would not have entered into the agreement. Such contracts are said to have been caused by mistake.

Section 20 provides that "where both the parties to an agreement are under a mistake as to a matter of fact essential to the agreement, the agreement is void"

The three conditions which must be fulfilled are:

- (i) Both the parties must be under a mistake i.e. the mistake must be mutual. Both the parties should misunderstand each other so as to nullify consent.

Illustration: Shivam, having two houses A and B, offers to sell house A, and Syed not knowing that Shivam has two houses, thinks of house B and agrees to buy it. Here there is no real consent and the agreement is void.

- (ii) Mistake must relate to some fact and not to judgment or opinion etc. An erroneous opinion as to the value of the thing that forms the subject matter of the agreement is not to be deemed a mistake as to a matter of fact.

Illustration: If A buys a car, thinking that it is worth Rs 70,000, and pays Rs. 70,000 for it, when it is only worth Rs 50,000, the contract remains valid. A has to blame himself for his ignorance of the true value of the motorcar and he cannot avoid the contract on the ground of mistake.

- (iii) The fact must be essential to the agreement: This means fact must be such which goes to the very root of agreement.